



\$18-20
billion

VALUATION HMIL IS LIKELY
TO COMMAND ON MARKET
DEBUT, AS PER NOMURA

₹21,000
crore

SIZE OF LIC'S PUBLIC
OFFERING, WHICH IS INDIA'S
LARGEST IPO TILL DATE

its market debut. This “implies a 22-37 times FY24 (Forecast) price-to-earnings (P/E). Peers trade at 16-32 times FY24F P/E,” analysts at Nomura note. In comparison, market leader Maruti Suzuki India’s market capitalisation on June 27 was ₹3,83,153 crore; Mahindra & Mahindra followed closely behind with ₹3,58,758 crore and Tata Motors with ₹3,22,874 crore.

Saji John, Research Analyst at Geojit Financial Services, says that HMIL would command a premium to the industry, driving the sector’s valuation as a whole, due to the positive outlook on HMIL for the next four years with new launches in electric vehicles, lower capex and superior cash flow.

“HMIL has performed strongly, ranking among the Top 5 markets globally. The company has strategically capitalised on the increasing demand for SUVs in the domestic market by introducing new models, leveraging advanced technologies and expanding its range of vehicle variants,” he says, adding that the approach has “enhanced Hyundai’s ability to set competitive pricing and strengthen its premium brand image.” In June, SUVs accounted for 66% of HMIL’s total sales, positioning the company favourably for premium market listings.

When it comes to sales in India, Hyundai falls behind Maruti Suzuki, Tata Motors, and Mahindra & Mahindra (M&M), among its listed peers. In FY23, HMIL’s revenue was ₹60,307 crore compared to MSIL’s ₹1,17,571 crore, Tata Motors’ ₹3,45,967 crore, and M&M’s ₹1,21,269 crore. While its earnings per share (EPS) in FY24 (annualised) were ₹72 against MSIL’s ₹431.08, M&M’s ₹101.14 and Tata Motors’ ₹81.95. In the local passenger vehicles market, HMIL currently holds 14.6% share, behind MSIL’s 41.7% and ahead of Tata Motors’ 13.9%. **BT**

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